Department of Criminology, University of Dhaka
MCCJ 527 – Organized Crime and Corruption

Group Assignment, Part I: Movie Review

Selling Bullets, Bending Rules:
Organized Crime, Corruption and the Grey Arms Market in War Dogs (2016)

Group 6

Roll 27: [Name]
Roll 8: [Name]
Roll 37: [Name]
Roll 33: [Name]
Roll 24: [Name]
Roll 21: [Name]

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1. Introduction

War Dogs is a 2016 crime comedy-drama directed by Todd Phillips and released by Warner Bros. Pictures (Phillips, 2016). It stars Jonah Hill as Efraim Diveroli and Miles Teller as David Packouz, with Ana de Armas as David's partner Iz and Bradley Cooper as the shadowy arms broker Henry Girard. The screenplay draws on Guy Lawson's reporting for *Rolling Stone* and his later book *Arms and the Dudes* (Lawson, 2011, 2015), which tell the true story of two young men from Miami Beach whose small company, AEY Inc., won a United States Army contract worth roughly $300 million to supply ammunition to the Afghan National Army.

The central theme of the film is the grey zone where legitimate business, state power and crime overlap. Its title refers to people who make money from war without ever fighting in one. For students of organized crime and corruption, the film is valuable precisely because its "criminals" do not look like the mafia of popular imagination. They wear polo shirts, bid on public tenders and send invoices. This review summarizes the plot, analyses it through the definitions, models and theories covered in MCCJ 527, and assesses how accurately the film portrays organized crime and corruption.

2. Summary of the Plot

The story is narrated by David Packouz, a struggling massage therapist in Miami whose attempt to sell bedsheets to care homes has failed. When his girlfriend becomes pregnant, he needs money quickly. At a funeral he meets his childhood friend Efraim Diveroli, who has built a small business bidding on the "crumbs" of US military procurement: low-value contracts posted on a public government website that large defence firms ignore.

David joins AEY and soon learns how far Efraim is willing to bend rules. When a shipment of pistols for the Iraqi police is held up in Jordan, the pair fly to Amman, rely on local fixers and drive the cargo through dangerous territory into Iraq to secure payment. Success brings them larger contracts and a lavish lifestyle. Their breakthrough comes when they meet Henry Girard, a well-connected broker who is on a terrorist watch list and therefore cannot trade with the US government directly. Through him they gain access to an enormous stockpile of Soviet-era rifle ammunition in Albania, and AEY wins the Afghan contract.

The deal begins to collapse when David discovers that the Albanian ammunition was manufactured in China, which the contract prohibits under a US arms embargo. Instead of disclosing the problem, the partners have the rounds repackaged to remove Chinese markings. Efraim then tries to cut Henry out of his share, David is threatened in Albania, and the friendship breaks down when Efraim cheats David of his earnings. A federal investigation

follows. In the end, Efraim is sentenced to four years in prison and David, who cooperates, receives seven months of house arrest, matching the real outcome of the case (Lawson, 2015).

3. Conceptual Analysis

3.1 Key definitions

The most widely used legal definition comes from the United Nations Convention against Transnational Organized Crime (UNTOC). It defines an organized criminal group as a structured group of three or more persons, existing for a period of time and acting in concert to commit one or more serious crimes in order to obtain a financial or other material benefit (United Nations Office on Drugs and Crime [UNODC], 2004, Art. 2). A "serious crime" is one punishable by at least four years of imprisonment, and the group need not have formal roles or a hierarchy.

Criminological definitions are usually narrower. Abadinsky (2013) lists attributes such as being non-ideological, hierarchical, having limited and exclusive membership, perpetuating itself over time, using violence and bribery, specializing in tasks, seeking monopoly and following rules. The film also invites the concept of *white-collar crime*, defined by Sutherland (1940) as crime committed by respectable people in the course of their occupation, and of *state-corporate crime*, in which harm results from the interaction between a government agency and a private business (Kramer et al., 2002). Finally, *corruption* is commonly defined as the abuse of entrusted power for private gain (Transparency International, n.d.).

3.2 Classification: is AEY "organized crime"?

Measured against UNTOC, AEY clearly qualifies. Efraim, David, their financier Ralph, Henry and the Albanian suppliers formed a structured group of more than three people, cooperating over several years to commit serious offences, including fraud against the US government and conspiracy, for financial gain. The activity was also transnational, spanning the United States, Jordan, Iraq, Albania and Afghanistan.

Measured against Abadinsky's attributes, however, the fit is weak. AEY had no initiation rituals, no exclusive membership, no capacity to survive the arrest of its leaders and no systematic use of violence. It is therefore best classified as *organized white-collar crime* or *enterprise crime*: a legally registered business that used legitimate channels to commit organized fraud. This classification matters because it shows why the case went undetected for so long. AEY did not look like a criminal organization, so it was treated as an ordinary supplier.

3.3 Models of organized crime

The course introduced four main models for explaining how organized crime is structured. Table 1 summarizes how well each one explains the events of the film.

Table 1

Fit Between Organized Crime Models and the Events of War Dogs

Model	Core idea	Fit with the film
Hierarchical / bureaucratic (Cressey, 1969)	Organized crime as a nationwide, mafia-style bureaucracy with ranks and a code	Weak: AEY had no ranks, families or code; authority rested on Efraim's personality alone
Patron–client (Albini, 1971)	Powerful patrons provide access and protection to clients in exchange for loyalty or money	Partial: Henry acts as a patron who controls access to Albanian supply in exchange for a share of profits
Enterprise (Smith, 1980)	Crime as business along a spectrum from legal to illegal, driven by market demand	Strong: AEY moved along the spectrum from legal bidding to fraud in response to Pentagon demand
Network (Morselli, 2009)	Fluid networks in which brokers who link otherwise separate actors gain power	Strong: Efraim and Henry profit by bridging the US military, Balkan stockpiles and shell companies

Note. Fit ratings are the group's assessment.

The enterprise model is the most convincing lens. Smith (1980) argued that legitimate and illegitimate businesses sit on a single spectrum and respond to the same market forces. In the film, the US government created enormous demand for cheap ammunition and outsourced it through an open online tender system. AEY began as a legal supplier and drifted towards illegality only when the profit from crossing the line was large and the risk appeared small. The network model adds an important detail: power in the deal belonged to those who connected otherwise separate worlds. Henry links Balkan stockpiles to Western buyers, while Efraim links Henry to the Pentagon, which matches Morselli's (2009) finding that brokers occupy the most valuable positions in criminal networks.

3.4 Theories of offending and corruption

Rational choice theory holds that offenders weigh expected rewards against the effort and risk of getting caught (Cornish & Clarke, 1986). The decision to repackage Chinese ammunition is a textbook case: the alternative was losing a contract worth hundreds of millions of dollars, while the perceived chance of detection was low. Closely related is *routine activity theory*, which states that crime occurs when a motivated offender meets a suitable target in the absence of a capable guardian (Cohen & Felson, 1979). In the film, the suitable target is a procurement system flooded with wartime spending, and the missing guardian is effective oversight of small contractors.

Anomie and strain theories explain David's motivation. Merton (1938) described "innovation" as the adaptation of people who accept society's goal of wealth but lack legitimate means to reach it. David, broke and about to become a father, fits this pattern. Messner and Rosenfeld's (1994) *institutional anomie theory* goes further, arguing that an economy-dominated culture

weakens the restraining power of family and other institutions. David repeatedly lies to Iz about his work, showing money overriding family values. *Differential association* (Sutherland, 1940) explains how David learns criminal techniques and justifications from Efraim, while *techniques of neutralization* (Sykes & Matza, 1957) appear in the partners' excuses: the soldiers still receive working bullets (denial of injury), the government itself buys from dubious sources (condemnation of the condemners), and they are only filling a gap in the market.

Corruption runs through the film at several levels. Informal payments and fixers move the stalled shipment through Jordan, Albanian intermediaries skim profits and hide the origin of the ammunition, and the procurement system itself rewards the lowest bidder with little scrutiny. Klitgaard's (1988) formula, corruption equals monopoly plus discretion minus accountability, helps explain these failures. Brokers such as Henry hold a monopoly over access to supply, contracting officers and foreign officials enjoy wide discretion, and accountability is weak in wartime. From a state-corporate crime perspective (Kramer et al., 2002), the harm was not caused by two rogue individuals alone; it was made possible by a government policy that outsourced war logistics to almost anyone who could underbid competitors.

3.5 The transnational dimension and the licit–illicit nexus

The film also illustrates how licit and illicit markets interlock across borders. The ammunition begins as legal surplus in an Albanian state depot, passes through brokers and front companies, and arrives in Afghanistan as a legal US government purchase. Only its hidden origin is unlawful. This process resembles the logic of money laundering, in which something tainted is moved through layers of legitimate transactions until its source disappears. The case therefore fits the course's description of transnational organized crime as activity that exploits differences between national laws, weak record-keeping and the limited reach of any single state's enforcement.

Henry Girard's presence on a terrorist watch list points to a further concern, sometimes described as the crime–terror nexus. Actors who are barred from legitimate trade do not leave the market; they simply operate through others who still have clean names. In the film, AEY serves exactly this function, lending a respectable American identity to a deal that Henry could never make openly. Post-communist states with large Cold War stockpiles and fragile institutions, such as Albania in the 2000s, become natural supply hubs for this kind of grey trade.

4. Strengths and Weaknesses of the Film

The film's greatest strength is that it shatters the stereotype of organized crime as violent, hierarchical and ethnic. It shows how a small business with a website, a bank account and confident salesmanship can exploit a state system, which reflects the enterprise and network models far better than classic mafia films such as *The Godfather*. It also hints at real victims

who are easy to forget: soldiers of the Afghan National Army who were issued decades-old ammunition, and taxpayers who funded the contract. It also portrays the psychology of offending realistically. Neither protagonist sees himself as a criminal, and their neutralizations sound like ordinary business talk. The repackaging of prohibited ammunition is also accurate in its essentials: prosecutors reported that "Made in China" markings were removed so that the rounds could pass as Albanian (Lawson, 2015).

However, the portrayal is partly exaggerated and in some ways too narrow. As a Hollywood comedy, the film glamorizes the protagonists' wealth and turns serious harm into entertainment. Several sequences are dramatized: Henry Girard is a composite character inspired by a real Swiss broker, and the kidnapping-style threats in Albania did not happen as shown. More importantly, the film focuses on two individuals and underplays structural corruption. It says little about the Albanian side of the trade, even though the country's ammunition-disposal industry was linked to the Gërdec depot explosion of March 2008, which killed 26 people and led to charges against senior officials (Al Jazeera, 2008). Nor does the film explore why a company run by a man in his early twenties could pass the Pentagon's vetting. A viewer could leave believing the problem was two reckless young men, when the deeper lesson is a weak system of oversight.

5. Conclusion

War Dogs tells the story of two young entrepreneurs who turned a wartime procurement system into a personal fortune and ended up in court. Using the concepts of MCCJ 527, we have argued that AEY meets the UNTOC definition of an organized criminal group, while falling outside traditional, mafia-based definitions. Its operations are best explained by the enterprise and network models, and its members' choices by rational choice, strain, differential association and neutralization theories. Klitgaard's corruption formula and the idea of state-corporate crime show that the conditions for the crime were created by institutions, not just individuals.

In our view, the film is an accurate and entertaining introduction to the "grey" side of organized crime, but it should be watched critically. Its humour makes fraud seem harmless and its focus on personalities hides the systemic failures that allowed the fraud to happen. The policy lessons are practical: stronger vetting of contractors, disclosure of the real owners behind companies, and independent checks on the origin of goods supplied to the state. For countries like Bangladesh, where large public procurement projects also rely on intermediaries, the film offers a timely warning: organized crime does not always carry guns. Sometimes it sells them, with a signed government contract.

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